

affordable housing segment,” he says, adding that 2022 saw a significant increase in mortgage rates. “We believe that this may have an adverse impact on housing demand in 2023,” he adds.

The impact of the recent changes has been witnessed across the affordable housing sector, which has seen lower sales and new launches. Data from industry analyst PropTiger suggests that the share of affordable homes in home sales shrank by 11 percentage points in January-September 2022 since the pre-Covid-19 days. In 2019, affordable homes formed 51 per cent of overall home sales in the country’s top seven real estate markets. That came down to 40 per cent in the first nine months of 2022. This has resulted in a more cautious approach by developers while coming up with new projects. While in 2019, over half of the new housing launches were in the affordable segment, that share fell to 29 per cent in the first three quarters of 2022.

Industry leaders like Aggarwal want the government to act to address a further slide in demand in 2023. “To sustain the demand, which is also essential to support the economy, the government should announce homebuyer-friendly tax sops in the upcoming Budget. State governments should also think of waivers in stamp duty and registration fees... to keep the demand going. We also urge the government to look into the per sq. ft selling price fixed years ago under various affordable housing schemes. To support and achieve the ‘Housing for All’ mission, the government should enhance the price cap under affordable housing schemes,” he says.

WHILE THE IMPACT of the prevailing conditions has been comparatively lower on the rest of the real estate market so far, recent analyses by industry expert groups such as JLL and Colliers suggest that acquiring a home is increasingly becoming difficult for average buyers. According to JLL’s home purchase affordability index, after touch-

ing its peak in 2021, homebuyers’ affordability in the country’s key markets is slipping. In India’s largest market Mumbai, for instance, homebuyers’ affordability has dropped by 8 per cent in 2022 over the previous year. In the second largest market, the National Capital Region of Delhi, the fall is greater, at 10 per cent year-on-year. While in Mumbai the average affordability may remain the same in 2023 as in 2022, in Delhi-NCR it may drop another 3.2 per cent. In Bengaluru, affordability has fallen by over 9 per cent in 2022 and is estimated to slide further in 2023, says JLL.

“Affordability was at its highest in 2021 with decadal low interest rates, attractive prices and household income recovery all coming together to create the perfect environment. In 2022, we have seen affordability gains mitigated as inflationary pressures have caused developers to pass on the rise in input costs on to the buyers,” JLL noted. While the JLL analysis does not take into account the RBI’s latest rate hike of 35 basis points, Shishir Bajjal, Chairman & MD of property consultant Knight Frank India, says this will “further impact EMIs and reduce home affordability”.

Apart from the rising cost of home loans, the steep rise in the costs of construction materials, labour and logistics have forced realtors to raise prices, thereby risking losing buyers. Data from real estate advisory Colliers shows that the cost of materials, which forms two-thirds of the overall construction cost—has jumped 32 per cent since end-2019. Coupled with the rising costs of labour and logistics (that are directly linked to fuel prices), the average cost of construction of a residential home has surged by 21 per cent in the past three years—from ₹1,900 per sq. ft in November 2019 to ₹2,300 per sq. ft in November 2022, according to Colliers.

Irfan Razack, Chairman and MD of Bengaluru-based real estate major Prestige Group, says the situation is “dangerous” since both factors affecting home prices—price of land and the cost of construction—are surging simultaneously. “Be it steel and cement

LIGHTER WALLETS

EMI outgo for home loans has jumped by over 18 per cent since April 2022

For a loan with a tenure of 20 years	Loan amount (80%)	EMI at 7% p.a. interest rate in April 2022	EMI at 9.25% p.a. interest rate as in Dec 2022	Change in EMI outgo
Scenario 1 (home price ₹62.5 lakh)	₹50,00,000	₹38,765	₹45,793	₹7,028
Scenario 2 (home price ₹1 crore)	₹80,00,000	₹62,024	₹73,269	₹11,245
Scenario 3 (home price ₹1.25 crore)	₹1,00,00,000	₹77,530	₹91,587	₹14,057
Scenario 4 (home price ₹1.88 crore)	₹1,50,00,000	₹1,16,295	₹1,37,380	₹21,085

SOURCE HDFC BANK HOME LOAN EMI CALCULATOR